

THE ₹177-LAKH CRORE INDIAN FINANCIAL SERVICES SECTOR, THE LIFEBLOOD OF THE COUNTRY'S ECONOMY, IS POISED FOR YET ANOTHER ROUND OF REFORMS TO ALIGN IT WITH GLOBAL TRENDS

BY ANAND ADHIKARI

IMAGINE AN ECONOMY where cash and plastic cards trail behind digital payments. This shift will not just impact India but the world too, as low-cost QR codes are increasingly becoming popular for payments compared with high-

cost point of sale or POS terminals.

And it's not just this; there are other transformative reforms at play here in the ₹177-lakh crore financial services sector. The path-breaking Insolvency and Bankruptcy Code (IBC) is expected to be fine-tuned this year to ensure faster insolvency proceedings. Consider the significant release of funds this promises for banks, empowering them to reinvest those funds. There is also the new development financial institution (DFI), which is poised to infuse substantial funds in partnership with banks into the rapidly growing infrastructure sector.

The financial services industry is on the cusp of an exciting transformation. While great progress has been made, there are many

pieces that are part of the government's and the Reserve Bank of India's (RBI) unfinished agenda that are still in the works.

LESS CASH

The digital payments revolution is making a significant impact not just in India but globally. In just seven years, Unified Payments Interface (UPI)-based payments have managed to capture a 20% market share in retail payments. These payments allow for instant money transfers between bank accounts, and as a result, the popularity of NEFT and debit cards is on the wane. Anubrata Biswas, MD & CEO of Airtel Payments Bank, says India has emerged as a global leader

in digital payments with a robust digital public infrastructure built over the past few years. "With increasing smartphone penetration, the deployment of high-speed internet in semi-urban and rural areas, and 5G coming into play, this growth is expected to accelerate further," says Biswas. "Today, payments banks serve millions of underserved customers in remote rural areas of the country. If they are allowed to offer microloans digitally, it will bring millions of people into formal credit," he adds.

But digital still has to contend with a formidable rival: cash. The currency in circulation (CIC) continues to be quite significant, surpassing 12% of GDP. This could be because of structural issues like limited financial literacy, a lack of smartphones, a fear of cybercrime, and inadequate payments infrastructure like ATMs, POS, etc. "To expedite the transition from cash to digital, India should concentrate on consolidating digital payment options, simplifying the myriad

12%

**THE CURRENCY
IN CIRCULATION TO
GDP RATIO, WHICH
IS STILL QUITE A
CONSIDERABLE AMOUNT**

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